

Lecture no 4:-

Topic name: Introduction to economics

Week no 4

Class no 4

Date: 30-03-2026

Day: Monday

Circular Flow of goods and Services.

The circular flow model shows how goods, services, and money flows between households, business and markets.

1. Households:

Provides factor of production (Labor, Land, Capital) to business.

2. Business:-

Produce good and services using these factors.

3. Goods and Services Flow:-

Business sell goods/services to households in exchange for money (revenue)

4. Money Flow

Households spend money on goods/services, and business pay households for factors (wages, rent, wages, interest)

- **Goods:-**

Tangible items you can touch

Like

→ Food

→ Cars

→ clothes

- **Services:-**

Intangible actions or tasks

Like

→ Healthcare

→ Education

→ Banking

So, the flow of good and services

- **Production:-**

Business produce goods and services using resources

- **Distribution:-**

Goods and services move from producers to consumers via

markets.

- **Consumption**

Households buy and use goods/services

- **Goods Flow**

Business produce smartphones
→ sold in markets households buy and use them.

- **Money Flow**

Households pay for smartphones
→ business get revenue pay wages to workers (households)

- **Factors Flow**

Households provide labor → business use it to produce goods/services → pay salaries.